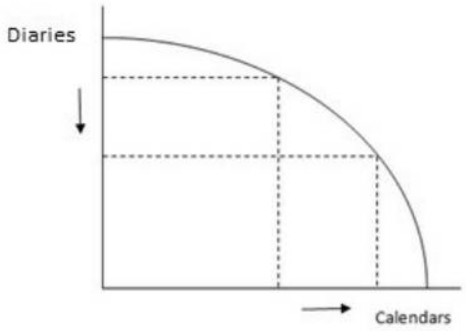
Type MS · Draw a PPC showing a movement or shift

Answer 1 of 4 · Question 3 part c · 3 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** **A** Increased indirect taxes	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **C** Luxury	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing a production possibility frontier (PPF) with correctly labelled axes Award 1 mark for showing a decrease in diaries on the PPF Award 1 mark for showing an increase in calendars on the PPF  	**(3)**

Type MS · Draw a PPC showing a movement or shift

Answer 1 of 4 · Question 3 part c · 3 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A minimum wage sets the lowest wage which can legally be paid in Turkey • The Turkish Government increased the minimum wage by 538 TRY from 2018 to 2019 • This would further improve the incomes of the lowest paid workers in Turkey • By ensuring a higher income is paid, the government is attempting to provide a better lifestyle for people who previously struggled with basic needs • By increasing the minimum wage, the government is reducing its need to support low-paid workers and is pushing the responsibility onto employers

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a PPC showing a movement or shift

Answer 1 of 4 · Question 3 part c · 3 marks

2020 NOV · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Internal economies of scale are reduced average costs enjoyed by firms that expand, such as airports • They can include bulk buying, marketing, technical, financial, managerial and risk-bearing • Istanbul's new airport will be able to handle 200 million passengers each year meaning it will need to buy seating for waiting areas in very large quantities. This means it may be able to benefit from bulk buying economies • The new airport might be able to benefit from technical economies of scale as the cost of installing equipment can be divided between each of six runways • Marketing economies could be spread amongst a high number of cafes and shops if they focus advertising on being located in the world's largest airport (which is bigger than Manhattan) • Risk-bearing economies could be enjoyed as if there is a problem with a runway, aircraft could be moved to one of five others **AO4** • However, if it becomes too large, Istanbul's new airport may suffer from diseconomies of scale, such as communication problems, leading to a rise in average costs • As the airport has not yet fully opened it may mean it has been built in stages and so furniture may not have been bought in such large quantities as to allow economies of scale to occur • Being so large could mean less care is taken during the installation of technical equipment. This could mean it needs to be repeated leading to additional costs • There is no guarantee that 200 million passengers will pass through the airport every year and so marketing economies may not result in the same benefits, especially if safety is a concern if there is a problem with a runway

Type MS · Draw a PPC showing a movement or shift

Answer 1 of 4 · Question 3 part c · 3 marks

2020 NOV · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a PPC showing a movement or shift

Answer 1 of 4 · Question 3 part c · 3 marks

2020 NOV · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark

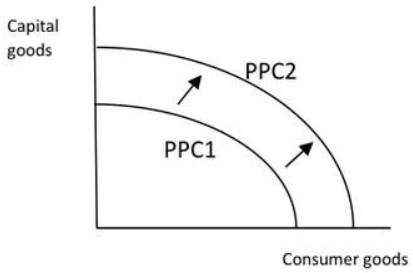
Type MS · Draw a PPC showing a movement or shift

Answer 2 of 4 · Question 3 part c · 3 marks

2020 JAN · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** **B** Skilled labour	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** **C** Large firms dominate the market	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for correctly labelling the axes Award 1 mark for drawing PPC1 closer to the axes than PPC2 Award 1 mark for drawing PPC2 showing positive economic growth from PPC1  	**(3)**

Type MS · Draw a PPC showing a movement or shift

Answer 2 of 4 · Question 3 part c · 3 marks

2020 JAN · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The demand for labour is likely to be affected by the wage rate, derived demand, productivity and the availability of substitutes • Machines provide a substitute for labour in many jobs and this factor is increasing • Google has developed an automated assistant meaning jobs currently performed by labour in call centres may also be replaced by machines • If machines can do the job more efficiently and/or cheaper then firms are likely to want to switch to machines, reducing the demand for labour • The more technology advances, the more substitutes there will be for labour and so the demand for labour is likely to continue to decrease

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a PPC showing a movement or shift

Answer 2 of 4 · Question 3 part c · 3 marks

2020 JAN · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Externalities are the spillover effects of consumption or production • Negative externalities occur when a cost is imposed on a third party by those organising or paying to attend fireworks displays • Some former military personnel experience negative externalities because they suffer from being reminded about experiences as a result of the loud noises even though they are not choosing to be consumers of the fireworks • This means the fireworks are providing a negative externality/external cost to these former military personnel as well as to animals that are frightened by the 'bang', 'pop' and 'whizz' sounds • As firework displays may take place for many reasons, private and public events and to celebrate religious occasions, the negative externality may be experienced at many times of year **AO4** • However, people who see and hear fireworks without paying to attend a display or intentionally being a consumer, may be experiencing external benefits • Positive externalities occur when a benefit is enjoyed by a third party • People away from the fireworks display may enjoy watching the colourful sparks in the sky but not the 'bang', 'pop' and 'whizz' noises • It is possible that a third party may experience both positive and negative externalities at different times • It may depend how long the fireworks last, the time of day they are displayed or how close they are to the third party

Type MS · Draw a PPC showing a movement or shift

Answer 2 of 4 · Question 3 part c · 3 marks

2020 JAN · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a PPC showing a movement or shift

Answer 2 of 4 · Question 3 part c · 3 marks

2020 JAN · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark

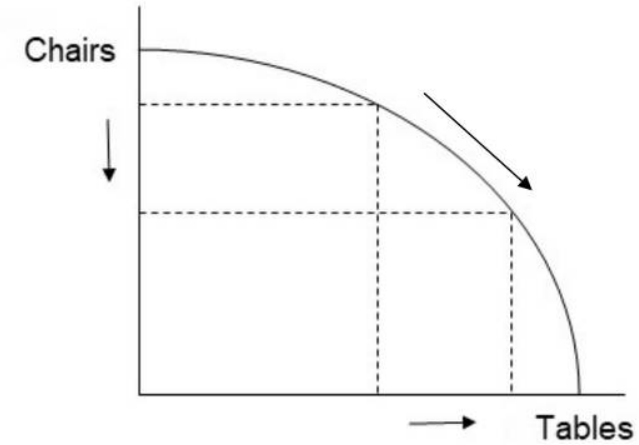
Type MS · Draw a PPC showing a movement or shift

Answer 3 of 4 · Question 3 part c · 3 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **B** government intervention A is not correct because a pollution permit is not a resource used to produce goods and services C is not correct because a pollution permit does not have reduced average costs due to expansion D is not correct because these are things expected to be true although there is no definite proof	**(1)**

Question number	Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **A** Increase in the use of fertiliser B is not correct because this would lead to a decrease in productivity C is not correct because this is not related to the productivity D is not correct because this would lead to a decrease in productivity	**(1)**

Question number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing a production possibility frontier (PPF) with correctly labelled axes **(1)** Award 1 mark for showing a decrease in chairs on the PPF **(1)** Award 1 mark for showing an increase in tables on the PPF **(1)**  	**(3)**

Type MS · Draw a PPC showing a movement or shift

Answer 3 of 4 · Question 3 part c · 3 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question number	Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • External benefits are positive spillover effects from the production or consumption of a good/service which allow third parties to benefit • Vaccinations such as the MMR would provide an external benefit to people who do not receive the vaccination because there is less chance of contracting measles, mumps or rubella • This is because if more people are vaccinated with MMR, there is less chance of them passing on the diseases • Therefore there would be fewer people in England with measles, mumps or rubella, even if they did not receive the vaccination themselves • The NHS would prefer more children to have the vaccination because it would reduce the spread of disease • A healthier workforce would lead to higher levels of production

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a PPC showing a movement or shift

Answer 3 of 4 · Question 3 part c · 3 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question number	Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The quantity of workers whom producers are willing and able to employ is known as the demand for labour • It can be affected by demand for the product, productivity and availability of substitutes, such as machines • This means that the advancement of technology in the retail sector has seen labour being replaced by machines • Therefore, fewer employees would be needed in shops such as those in town centres, especially as at least 10% of shops have been vacant for the last five years • As a result, the demand for labour is likely to be reduced by the availability of substitutes **AO4** • However, labour is still needed to develop, build and maintain the machines • As the percentage of online sales is now above 20% of total retail sales, more employees will be needed to meet this online demand, including warehouse operatives and postal workers to deliver retail orders • Therefore, although certain types of labour may reduce (such as shop workers), other types may increase (such as software developers) • As a result, the demand for labour will not always be reduced due to the availability of substitutes

Type MS · Draw a PPC showing a movement or shift

Answer 3 of 4 · Question 3 part c · 3 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a PPC showing a movement or shift

Answer 3 of 4 · Question 3 part c · 3 marks

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question number	Answer	Mark

Type MS · Draw a PPC showing a movement or shift

Answer 4 of 4 · Question 3 part c · 3 marks

2024 NOV · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

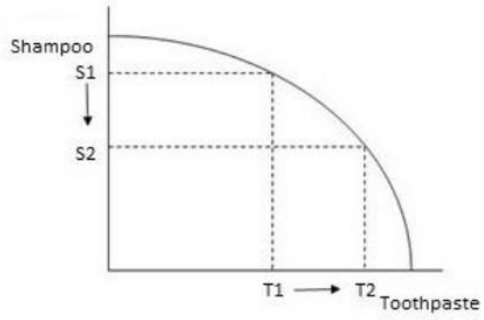
3(a)	**AO1 1 mark** The only correct answer is: **D** Decreased incomes A is not correct because this would increase demand B is not correct because this would increase supply C is not correct because this would reduce supply	**(1)**

Question number	Which **one** of the following best describes the type of goods with an income elasticity of demand (YED) of -1.3? **Answer**	**Mark**
3(b)	**AO1 1 mark** The only correct answer is: **A** Inferior B is not correct because unitary goods have a numerical value equal to 1 or -1 C is not correct because this would have a high positive numerical value D is not correct because this would have a positive numerical value	**(1)**

Type MS · Draw a PPC showing a movement or shift

Answer 4 of 4 · Question 3 part c · 3 marks

2024 NOV · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question number	In the box below, draw a production possibility curve (PPC) for a firm that can produce shampoo and/or toothpaste. On your PPC, draw and label what would happen if production of toothpaste was increased. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for drawing a production possibility curve (PPC) with correctly labelled axes Award 1 mark for showing a decrease in shampoo on the PPC Award 1 mark for showing an increase in toothpaste on the PPC  	(3)

Type MS · Draw a PPC showing a movement or shift

Answer 4 of 4 · Question 3 part c · 3 marks

2024 NOV · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse the likely impact of an increase in the national minimum wage on the supply of labour in Barbados. **Indicative content**
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The minimum wage in Barbados increased by $2.25 (36%) per hour • This means that a higher income is received by people who may have struggled with basic needs if the national minimum wage was left at $6.25/hour • A 36% increase could be quite a substantial increase in the wages earned for some people in Barbados • Therefore, more workers would be encouraged to work because they can enjoy a higher standard of living • Thus, there is likely to be an increase in the quantity of labour supplied

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Draw a PPC showing a movement or shift

Answer 4 of 4 · Question 3 part c · 3 marks

2024 NOV · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, assess the importance of the quality of labour on productivity in a country. **Indicative content**
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Quality of labour may increase as a result of education because workers would be able to develop skills with which they could become more efficient in the tasks needed to produce goods and services in the workplace • Therefore, workers are likely to be able to produce more goods and services in a shorter period of time, leading to lower costs of production for firms • This increase in productivity means that a firm may be able to enjoy higher profits due to lower costs, as well as a possible increase in revenue, if more products are available to sell • An increase in immigration may lead to an increase in the quantity and quality of labour supplied • This may result in increased competition between workers to provide the most efficient labour to firms in order to reduce their costs of production • This may mean that some workers may aim to increase their education to become more productive **AO4** • However, it takes time for education to become effective as periods of study need to be completed before being used in the workplace • This means that education may only impact productivity at a later date, making it difficult to measure its impact • Skilled workers may emigrate, taking their ability to increase efficiency for a firm with them • Immigration which increases the supply of skilled labour may lead to a reduction in wages, potentially demotivating workers and discouraging productivity • Therefore, productivity may not always increase due to quality of labour, at least not in the short-run • It may depend on the country and the levels of productivity within it or on technological advances in capital or land use

Type MS · Draw a PPC showing a movement or shift

Answer 4 of 4 · Question 3 part c · 3 marks

2024 NOV · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Draw a PPC showing a movement or shift

Answer 4 of 4 · Question 3 part c · 3 marks

2024 NOV · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question number	Calculate, the **excess demand** for the product for the first three months of 2024, if the quantity supplied during each month was 11,000 (33,000 in total). You are advised to show your working. **Answer**	**Mark**